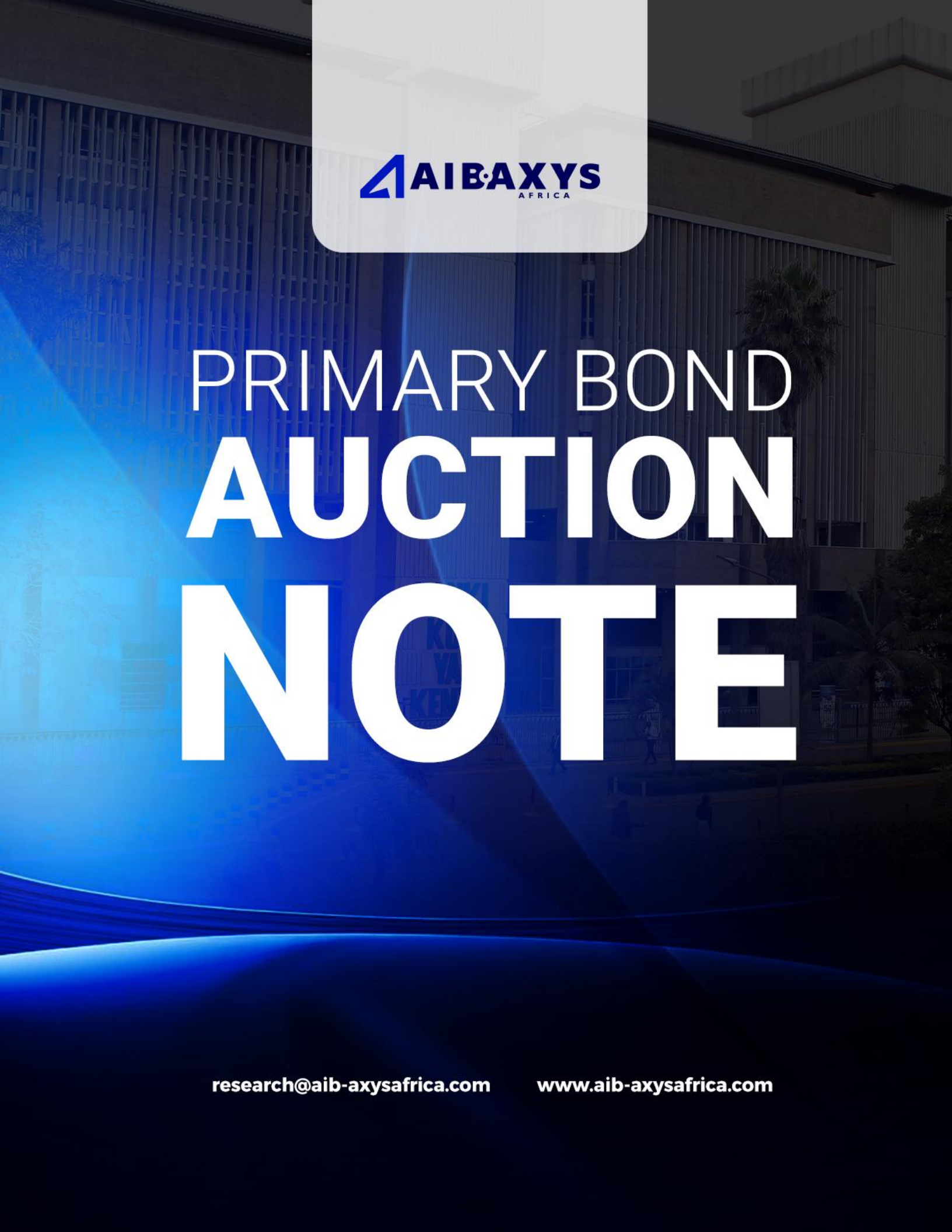

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AIB-AXY April 2026 Primary Bond Auction Note

Summary

- **The Exchequer is seeking to raise KES 40.00Bn through the re-opening of the FXD1/2020/015 & FXD1/2018/025** treasury bonds earmarked for budgetary support in FY25/26.

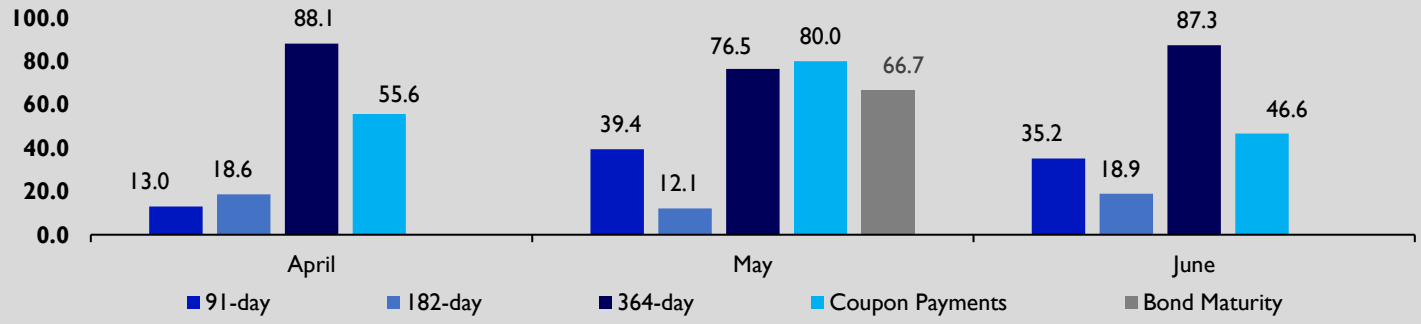
- The government is facing approximately KES 175.30 Bn in debt obligations in April, slightly higher than KES 168.30 Bn in March, with no bond maturities. Before last week's T-bill auction, the market exhibited ample liquidity, with auctions being highly oversubscribed as investors continued to take positions in anticipation of further yield declines.

- We expect FXD1/2018/025 to attract the majority of investor bids, supported by its compelling coupon rate of 13.4000% and longer maturity, which is likely to appeal to long-term investors and institutions. In recent auctions, authorities have rejected aggressive bids in an effort to contain the cost of debt. Additionally, sustained oversubscription has provided leeway for authorities to front-load borrowing. As such, we expect authorities to maintain this approach by continuing to reject aggressive bidding in the current auction.
- **Our recommended competitive bidding yield is indicated in Table 1 on the right.**

Table 1: Key Auction Highlights

FXD1/2020/015 & FXD1/2018/025	
Issuer:	Republic of Kenya
Total Amount:	KES 40.0 billion
Purpose:	Budgetary Support
Tenor:	**FXD1/2020/015** - (8.9 Years)– Re-opened **FXD1/2018/025** - (17.3 Years)– Re-opened
Coupon Rate:	**FXD1/2020/015** – 12.7560% **FXD1/2018/025** – 13.4000%
Price Quote:	Discounted/Premium/Par
Period of sale:	23rd Mar 2026 to 1st April 2026
Minimum Amount:	KES 50,000.00
Taxation:	10.00%
Maturity Dates:	**FXD1/2020/015** – 5th -Feb-2035 **FXD1/2018/025** – 25th -May-2043
Non-competitive bids per CSD A/C:	Maximum KES 50 million per CDS A/c
Competitive bid per CSD A/C:	Minimum KES 2 million per CDS A/c
AIB-AXYS Competitive Bidding Range Recommendation:	**FXD1/2020/015 – 11.70%-11.90%** **FXD1/2018/025 –12.50%-12.70%**

Governmnent Obligations Q2 2026 in KES Bn



Source: CBK, AIB-AXYS Africa Research

Term Structure of Interest Rates

Yield curve normalization has continued during Q1 as we had expected, with gradual moderation. The long end of the curve has posted the largest declines, approximately 77.46 bps on a YTD basis, while the mid and front-end segments have recorded declines of approximately 50.16 bps and 40.04 bps, respectively. The 8-year benchmark has posted the largest decline of 138.98 bps on a YTD basis.

Coming into 2026, we had estimated 3-4 rate cuts for the year, and the Central Bank signaled that there is still headroom for further cuts during the February briefing. For now, the rate cut path faces uncertainty following the conflict in the Middle East, which is likely to trigger inflationary pressures. Inflationary pressures could stem from higher costs of imported goods and transport, which may feed into other sectors such as agriculture, pushing food inflation, a significant contributor to the CPI. We are of the view that yield curve normalization should persist through the year, especially if the situation in the Middle East does not escalate further; however, there are currently no tangible signs of immediate easing.

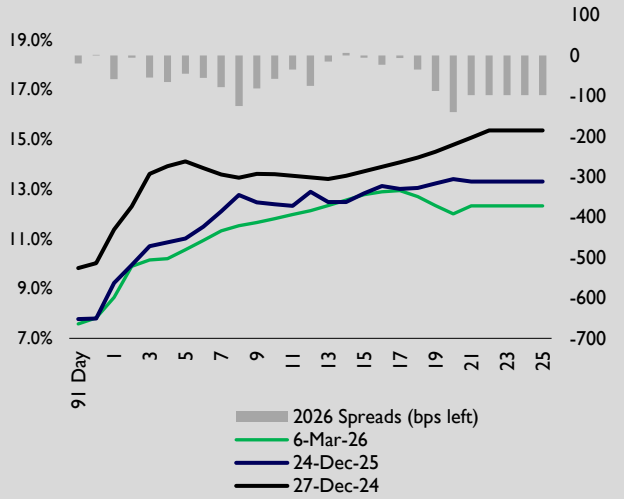
Market Liquidity

The Kenya Shilling Overnight Interbank Average (KESONIA) eased further to 8.7% in March from 8.8% in February. The easing was driven by the 25 bps reduction in the Central Bank Rate in February, coupled with a further tightening of the interest rate corridor by 25 bps to 50 bps from 75 bps. We see scope for additional rate cuts during the year, provided inflation remains within the CBK's target range.

Price Levels

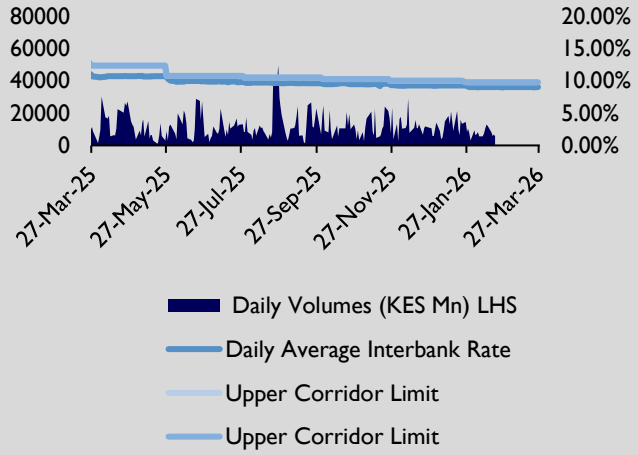
February inflation eased 4.3%, slightly lower than January's 4.4%. This implies that consumer prices were 4.3% higher in February 2026 compared to February 2025. Food inflation rate stood at 7.3% same level recorded in January. Fuel inflation eased by 80bps to 4.0% while Core inflation (Non-food Non-fuel) decreased by 10bps to 2.1% from 2.2% recorded in the previous month. We anticipate a slowdown in inflation in the near term, driven by improved weather conditions during the March long rains season, especially in the food-producing regions, which is expected to boost crop yields, strengthen food reserves, and contribute to a decline in food inflation. Fuel landing costs for the April/May review might come with higher energy price pressures, owing to the ongoing conflict in the Middle East. The G2G program might partly shield us from supply challenges, but not from higher prices.

Chart 2: Domestic Yield Curve Evolution



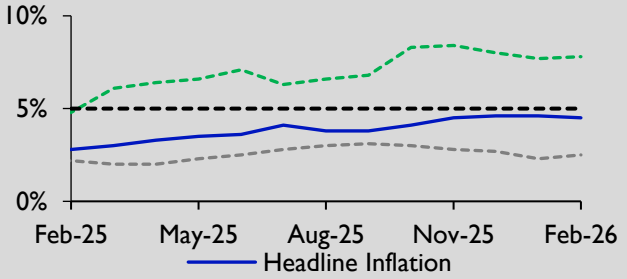
Source: CBK, AIB-AXYS Africa Research

Chart 3: Interbank Rate and Volumes



Source: CBK, AIB-AXYS Africa Research

Chart 4: Price Levels

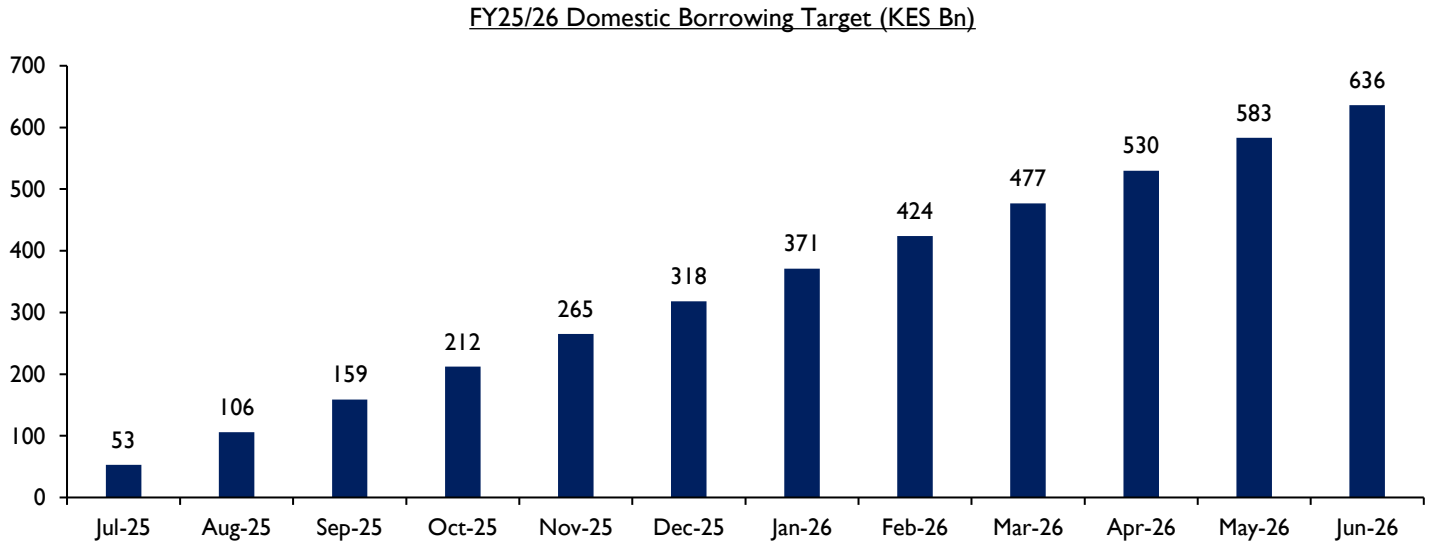


Kenya National Bureau of Statistics, AIB-AXYS Africa Research

Table 2: Comparable Bond Duration Yields

Issue No.	Maturity Date	Remaining Tenor in Years	Outstanding Amount KES Mn.	Fixed Coupon Rate	Implied Yield to Maturity
Comparable Yields for the FXD1/2020/015 - (8.9Years)					
FXD3/2019/015	10-July-2034	8.3	147,465.84	12.3400%	11.4894%
FXD1/2020/015	**05-Feb-2035**	**8.8**	**168,533.30**	**12.7560%**	**11.5150%**
FXD1/2010/025	28-Feb-2035	9.1	20,192.50	11.2500%	11.5835%
Comparable Yields for the FXD1/2018/025 - (17.3 Years)					
FXD1/2021/020	22-July-2041	15.4	129,934.10	13.4440%	12.5051%
FXD1/2018/025	**25-May-2043**	17.2	214,643.73	**13.4000%**	**12.5250%**
FXD1/2021/025	**9-Aril-2046**	20.1	148,937.71	**13.9240%**	**12.6116%**

Source: CBK, AIB-AXYS Africa Research



Source: CBK, AIB-AXYS Africa Research

CBK Previous Primary Bond Auctions

	Offered Amount (KES, Mn)	Paper(s)	Duration at Issuance (yrs)	Performance Rate	Coupon Rate (%)	Market Average Yield (%)	Accepted Average Yield (%)
Apr-25	70,000	FXD1/2020/015 Re-opened	9.9		12.756%	13.671%	13.665%
		FXD1/2022/015 Re-opened	12.1		13.942%	13.837%	13.828%
		FXD1/2022/025 Re-opened	22.6	**102.5%**	14.188%	14.237%	14.234%
	10,000	FXD1/2020/015 Tap-sale	9.9	**132.4%**	12.756%		
May-25	50,000	FXD1/2022/015 Re-opened	12.0		13.942%	13.942%	13.913%
		FXD1/2022/025 Re-opened	22.5	**114.2%**	14.188%	14.636%	14.538%
	30,000	FXD1/2012/020 Re-opened	7.6	**181.3%**	12.000%	13.733%	13.649%
Jun-25	50,000	FXD1/2020/015 Re-opened	9.7		12.756%	13.606%	13.487%
		SDB1/2011/030 Re-opened	15.7	**202.7%**	12.000%	14.181%	13.998%
Jul-25	50,000	FXD1/2018/020 Re-opened	12.8		13.200%	13.945%	13.899%
		FXD1/2018/025 Re-opened	18.0	**153.8%**	13.400%	14.435%	14.348%
Aug-25	90,000	IFB1/2028/015 Re-opened	7.5		12.500%	13.530%	12.993%
		IFBI/2022/019 Re-opened	15.6	**359.4%**	12.965%	14.237%	13.999%
		IFB1/2028/015 Tapsale	7.5		12.000%	13.530%	
		IFBI/2022/019 Tapsale	15.6	**414.9%**	12.965%	14.237%	
Sep-25	40,000	FXD1/2018/020 Re-opened	12.5		13.200%	13.724%	13.080%
		FXD1/2022/025 Re-opened	22.2	**243.2%**	14.188%	14.246%	12.782%
Oct-25	50,000	FXD1/2018/015 Re-opened	7.7		12.750%	12.652%	12.385%
		FXD1/2021/020 Re-opened	15.9	**237.8%**	13.444%	13.529%	13.310%
Nov-25	40,000	FXD1/2012/020 Re-opened	7.0		12.000%	12.638%	12.471%
		FXD1/2022/015 Re-opened	11.4	**232.3%**	13.994%	13.467%	13.339%
	40,000	FXD3/2018/015 Re-opened	8.7		12.340%	12.746%	12.574%
		FXD1/2022/025 Re-opened	21.9	**289.7%**	14.188%	13.848%	13.746%
Dec-25	40,000	SDB1/2011/030 Re-opened	15.2		12.000%	13.439%	13.325%
		FXD1/2021/025 Re-opened	20.4	**132.8%**	13.924%	13.643%	13.620%
Jan-26	60,000	FXD1/2019/20 -Reopened	13.2		12.873%	13.329%	13.262%
		FXD1/2022/025 Re-opened	21.8	**119.2%**	14.188%	13.791%	13.756%
Feb-26	50,000	FXD3/2019/015 Re-opened	8.4		12.340%	12.388%	12.184%
		FXD1/2018/025 Re-opened	17.3	**427.5%**	13.400%	13.450%	13.362%
Mar-26	60,000	FXD1/2019/20 -Reopened	13.1		12.873%	12.786%	12.748%
		FXD1/2021/025 Re-opened	20.1	**195.7%**	13.924%	13.361%	12.949%
Average*	**51,429**		**13.0**	**213.7%**	**13.195%**	**13.608%**	**13.409%**

*Source: CBK, AIB-AXYS Research, *- Yearly average results excludes tap sales*



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